

Submission ACCT1-QUIZ-SUB06

Question ACCT1-QUIZ-Q01

notation changes halfway:

1. Dr Cash 531; Cr Service Revenue 531
2. Dr Supplies 466; Cr Accounts Payable 466
3. Assets increase by cash+supplies; liabilities increase by payable; equity increases by revenue.

marks, subscripts, and units are mixed up

result written as: Dr Cash 531/Cr Revenue 531; Dr Supplies 466/Cr A/P 466; A=L+E remains balanced (please interpret)

Question ACCT1-QUIZ-Q02

notation changes halfway:

1. Monthly revenue $\approx 753/6 \approx 126$
2. Dr Unearned Revenue 126; Cr Service Revenue 126
3. Remaining liability ≈ 628

marks, subscripts, and units are mixed up

result written as: Dr Unearned Revenue 126; Cr Revenue 126; liability=628 (please interpret)

Question ACCT1-QUIZ-Q03

notation changes halfway:

1. Assets $\approx$ Liabilities + Equity
2. Equity $\approx 1627-562 \approx 1065$
3. The equation must balance after every recorded transaction.

marks, subscripts, and units are mixed up

result written as: equity=\$1065; assets=liabilities+equity (please interpret)

Question ACCT1-QUIZ-Q04

notation changes halfway:

1. Current ratio $\approx 1709/1085 \approx 1.58$
2. Above 1 means current assets exceed current liabilities, not that all assets are cash.

marks, subscripts, and units are mixed up

result written as: current ratio=1.58; assets exceed liabilities if ratio>1 (please interpret)

Question ACCT1-QUIZ-Q05

notation changes halfway:

1. Cash receipt before performance does not by itself create earned revenue.
2. Record contract liability/unearned revenue, then recognize revenue as the performance obligation is satisfied.

marks, subscripts, and units are mixed up

result written as: record unearned revenue first; recognize revenue as performance occurs (please interpret)